

FULL YEAR RESULTS

The directors are pleased to announce the audited financial results for the year ended 30 June 2023.

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

For the year ended 30 June

	2023 Shs'000	2022 Shs'000
Revenue	24,051,024	18,032,334
Operating loss-	(440,582)	(502,040)
Share of (loss)/profit in Joint Venture	(6,285)	7,429
Finance income	31,377	41,079
Finance costs	(784,368)	(267,446)
Loss before tax	(1,199,858)	(720,978)
Income tax credit	240,477	229,815
Loss from continuing operations	(959,381)	(491,163)
Profit from discontinued operations	-	802,524
(Loss)/ profit for the year	(959,381)	311,361
Attributable to:		
Owners of the parent	(636,517)	187,414
Non-controlling interest	(322,864)	123,947
	(959,381)	311,361
Basic and diluted (loss)/ earnings per share (Shs)	(8.41)	2.48

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

As at	30 June 2023 Shs'000	30 June 2022 Shs'000
ASSETS		
Non-Current Assets	4,882,560	4,482,214
Current Assets	6,623,441	5,805,436
Total Assets	11,506,001	10,287,650
EQUITY AND LIABILITIES		
Share Capital	378,535	378,535
Share Premium	73,148	73,148
Reserves	3,348,927	3,964,041
Non-controlling interest	1,974,779	2,286,090
Non-Current Liabilities	54,841	161,529
Current Liabilities	5,675,771	3,424,307
Total Equity and Liabilities	11,506,001	10,287,650

CONSOLIDATED STATEMENT OF CASH FLOWS

	30 June 2023 Shs'000	30 June 2022 Shs'000
Cash generated from operations	(9,867)	289,725
Tax paid	(22,823)	(105,282)
Interest paid	(344,598)	(112,861)
Net cash from operating activities	(377,288)	71,582
Net cash used in investing activities	(352,643)	(517,615)
Net cash used in financing activities	551,235	(332,117)
Net (decrease)/ increase in cash and cash equivalents	(172,421)	(778,150)
At the beginning of the period	734,719	1,521,050
Effects of exchange rate changes	(68,614)	(8,181)
At the end of period	493,684	734,719

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share capital Shs'000	Share premium Shs'000	Other Reserves Shs'000	Revenue reserve Shs'000	Equity attributable to equity holders Shs'000	Non-Controlling Interest Shs'000	Total Sh'000
At 1 July 2022	378,535	73,148	(32,818)	3,996,859	4,415,724	2,286,090	6,701,814
Profit for the year	-	-	-	(636,517)	(636,517)	(322,864)	(959,381)
Other comprehensive Income for the year	-	-	21,403	-	21,403	11,553	32,956
Total comprehensive income for the year	-	-	21,403	(636,517)	(615,114)	(311,311)	(926,425)
At 30 June 2023	378,535	73,148	(11,415)	3,360,342	3,800,610	1,974,779	5,755,389

COMMENTARY

Revenue increased by 33% driven by high prices of raw materials and finished goods. Loss from continuing operations increased due the depreciation of the Kenya Shilling and the inability to secure adequate supply of US dollars causing significant forex losses and interest expenses. The prior year profit after tax included gains on transfer of business of assets.

Maize grain prices increased by up to 100% between July 2022 and June 2023. This affected affordability among consumers due to high finished product prices and strained margins to the business due to the inability to pass all the raw material price increases to the consumers. Exemption of duty on yellow corn towards the close of the year was a welcome move by the government to contain mounting animal feed prices.

The company reinforced its commitment to maintain good engagement with consumers and further strengthen relationships with farmers and trade partners.

Across all sites in Kenya, the Group commenced the installation of solar panels as part of its sustainability (green) initiatives.

Expansion of the aqua feed plant in Kenya was completed during the year. This saw production capacity increase significantly to support the blue economy with quality fish feed. The new plant in Uganda is expected to be fully operational in first quarter of the current financial year.

Outlook

The continued short supply of foreign currency and depreciation of the Kenya Shilling remains a risk to the business.

The Amana® range of products has been re-launched and the portfolio expanded to give consumers more variety under the Unga brand. This is expected to deliver more volumes in 2023/24.

The company will continue to implement other initiatives in its new strategic plan, putting quality products, customers, and employees at the heart of its action plans.

The Directors do not recommend payment of dividends.

By order of the Board

W Jumba
Company Secretary
28 September 2023